

EU funds to cushion the hit from high energy prices

- Key changes:** We've nudged up GDP growth forecast by 0.1ppts to 2.4% this year but cut it by 0.4ppts to 2.3%. We think that high energy prices will weigh on activity, even if in the short term the drag will be counterbalanced by solid domestic demand. While high energy prices will lift inflation, we do not think they will translate into wider inflationary pressures this year as we expect inflation to average 2.7%. We have moderated the widening of fiscal deficit this year to 3.3% of GDP but keep expecting it to widen notably in 2027 as higher interest costs and defence spending boost expenditure and income tax reform weighs on revenues.
- Short-term forecast:** We remain cautiously optimistic about the near-term outlook for the economy. Foremost, consumption growth is expected to pick up as households become less risk-averse and spend solid income gains. In addition, public investment outlays are set to remain solid this year and next, buoyed by substantial EU funding. However, the ongoing energy price shock risks keeping inflation elevated and weighing on industrial competitiveness, particularly in energy-intensive sectors. We see risks to growth as skewed to the downside.
- What to watch out for:** Political instability and policy uncertainty. Political uncertainty has increased markedly following the collapse of the coalition government led by PM Silina, with defence preparedness and national security now dominating the policy agenda ahead of elections. While Latvia's strong institutional framework and pro-EU/NATO orientation should preserve broad policy continuity, prolonged coalition fragmentation could delay reforms, slow EU fund absorption and complicate implementation of the large public investment pipeline.

Table 1: Latvia forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	-1.1	-0.3	2.1	2.4	2.3	2.9
Private consumption	-0.6	-0.3	0.8	2.0	2.4	2.5
Industrial production	-5.7	-2.2	3.7	5.4	0.7	2.5
Employment	-0.2	-0.7	0.7	0.8	-0.3	-0.8
Unemployment rate (%)	6.5	6.9	6.9	6.0	5.1	5.1
Government balance (% of GDP)	-2.5	-1.9	-2.6	-3.3	-4.5	-3.8
Gross government debt (% of GDP)	44.4	46.3	46.9	48.2	49.5	50.3
Current a/c balance (% of GDP)	-3.8	-1.6	-3.4	-4.4	-3.7	-2.5
Consumer prices	9.4	1.3	3.7	2.7	2.4	3.0
Bank's deposit rate (% EOP)	4.0	3.0	2.0	2.5	2.0	2.0
10yr govt. bond yield (% AVG)	3.8	3.3	3.3	3.7	3.7	3.7
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18
Exchange rate (euro per £, EOP)	1.15	1.21	1.15	1.12	1.10	1.10

Source: Oxford Economics

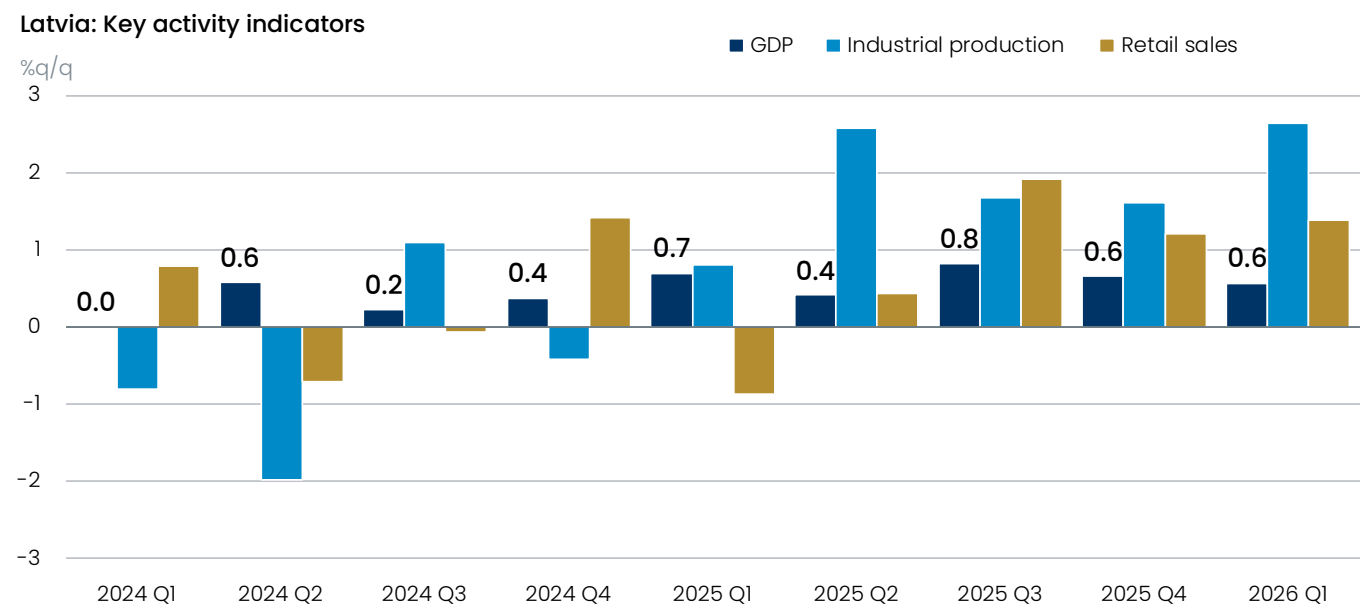
Baseline forecast

Recent developments

GDP increased by 0.6% q/q in Q1, maintaining the pace seen in Q4 2025.

The economy has remained resilient to the ongoing war between the US and Iran and the associated surge in global energy prices. Indeed, industry grew by a solid 2.6% q/q or an eye-catching 8.8% y/y in the first quarter of the year. While the energy sector was the key contributor, parts of manufacturing such as furniture, basic metals and chemicals have continued to perform well too. Construction saw a marginal pick-up in Q1 at 0.4% q/q, but continued to grow at a healthy 3.2% annual pace.

Chart 1: Both industry and retail sales grew solidly over Q1



Sources: Oxford Economics, Haver Analytics

Inflation eased to 2.9% y/y in April, down 0.5ppts since May. Food prices fell on the year, weighing on the headline print. Services inflation fell too and at 4.1% y/y was the lowest since early 2022.

Labour market remained tight in April as the number of unemployed kept falling even though the registered unemployment rate saw a marginal pick-up to 4.7%, still very close to all-time lows. Wage growth was resilient at the end of last year as nominal wages were growing at 6.4% y/y in December.

Short-term forecast

We've nudged up GDP growth forecast by 0.1ppts to 2.4% this year but cut it by 0.4ppts to 2.3% in 2027. We think sequential GDP growth rates will remain solid this year as the drag from elevated energy prices will be to a large extent cushioned by resilient domestic demand.

Foremost, we think that consumption, expected to advance at a 2% pace this year following a disappointing result in 2025, will underpin the healthy activity growth. Tight labour market and solid employment growth at 0.8% this year will be instrumental in keeping disposable incomes growth strong. At the same time, the ongoing energy crisis and the associated pick up in inflation mean that real income gains will be somewhat smaller than we

assumed back in February. The risk of energy prices remaining elevated for longer than we assume points to downside risks to consumption outlook.

Elsewhere, we think that investment will expand 2.6% this year following last year's 9.5% y/y surge. EU funds will remain instrumental in financing a host of public investment works particularly in infrastructure as well as allowing a ramp up of defence spending to the planned 5% of GDP. This should support industrial output as well as construction going forward despite the expected tightening of monetary policy by the ECB.

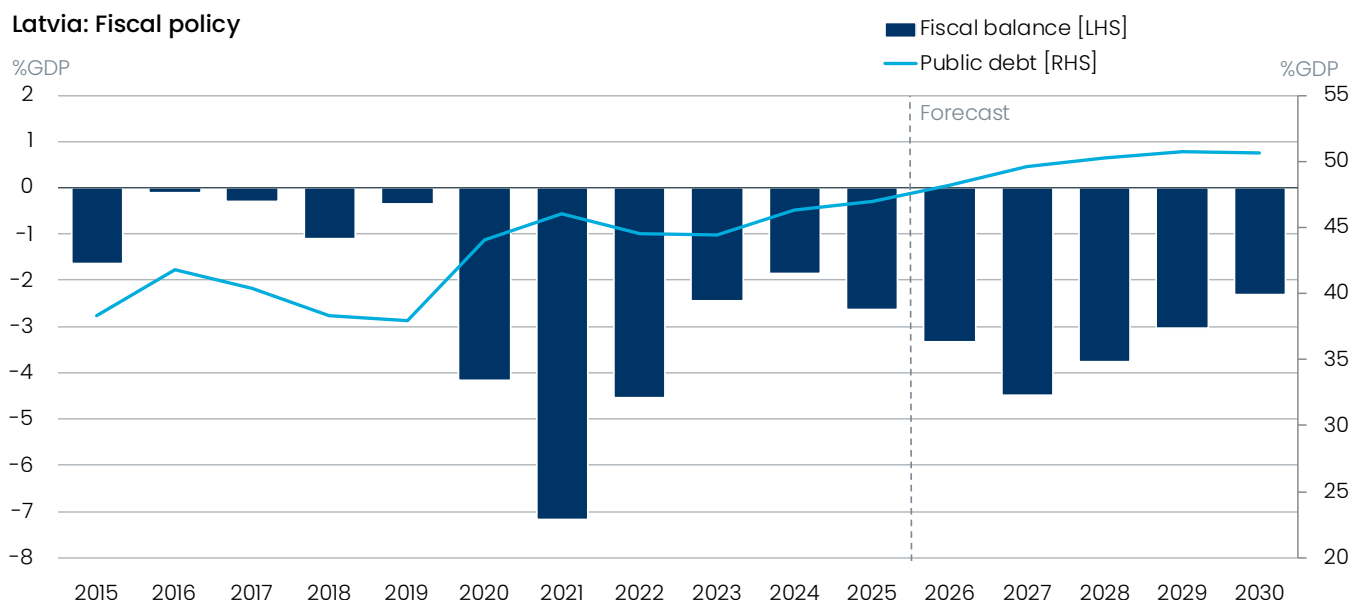
The outlook for exports is more uncertain, however. Exports have remained broadly flat since 2024 and we do not expect an imminent turnaround given Latvia's specialization in intermediate production inputs, particularly wood and metals demand for which is likely to falter given worsening prospects for the key trading partners in the Eurozone.

Policy assumptions

Fiscal policy. Latvia's fiscal stance is likely to remain moderately expansionary as the government increases defence spending and implements a large pipeline of EU-funded infrastructure, energy and military projects. While public debt remains relatively low by Eurozone standards, higher defence, infrastructure and ageing-related spending will keep deficits above pre-pandemic levels and place debt on a gradual upward trajectory ([Chart 2](#)). However, substantial EU funding should help contain fiscal risks.

Monetary policy. Following a period of stable interest rates, we expect the ECB to hike the deposit rate twice in June and July in response to a pick-up in inflation due to higher energy prices. This will moderately tighten financing conditions for firms and households, weighing particularly for the interest sensitive sectors such as consumer durable manufacturing and construction. However, we expect the hikes to be reversed next year, meaning the drag will be only transitory.

Chart 2: We expect fiscal deficit to widen to 3.3% of GDP this year



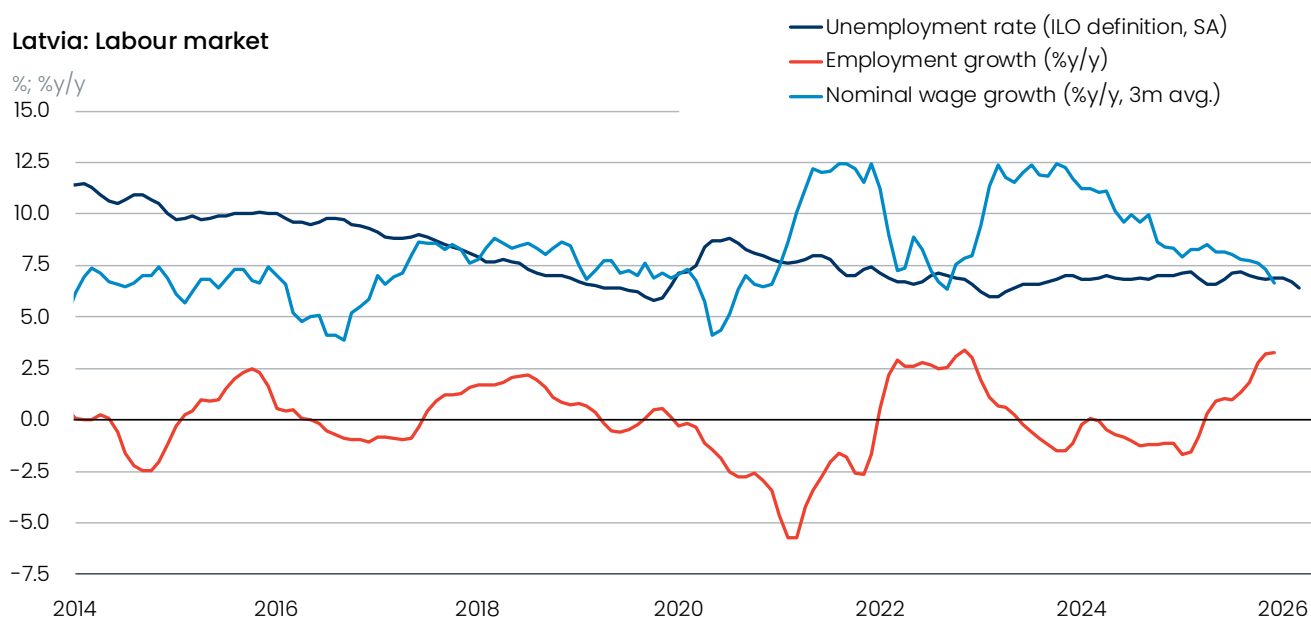
Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

The labour market will remain tight. The harmonised unemployment rate ticked down to 6.4% in March ([Chart 3](#)). As the economy keeps expanding supporting labour demand and thus employment, we expect the

unemployment rate will continue along its downward trend toward the terminal level of 5%. This will keep nominal wage growth elevated at 5.9% this year.

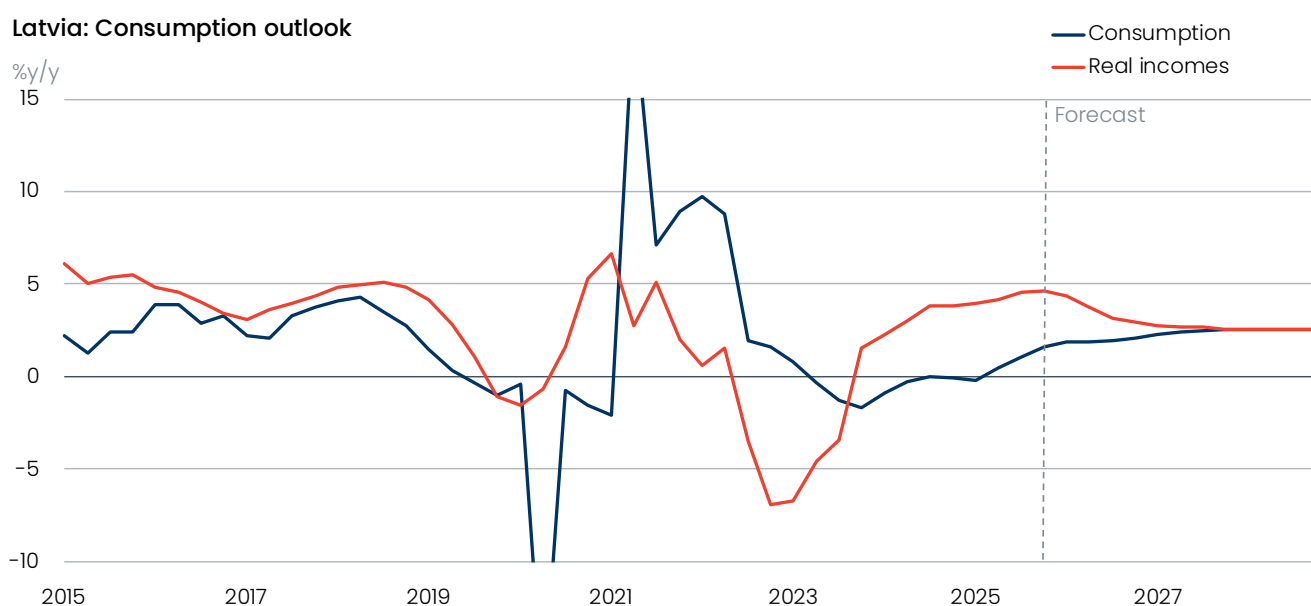
Chart 3: Tight labour market keeps nominal wage growth strong



Sources: Oxford Economics, Haver Analytics

Consumption will keep growing steadily. Revised data indicated that consumption has remained on a modest uptrend since Q2 2025 and grew at 2% y/y in Q1 2026. We expect household spending growth this year to match Q1's pace on the back of solid real wage growth projected at 3% y/y. But in line with the rising savings rate and the tangible risk of a stronger pick-up in inflation due to the ongoing US-Iran war and the associated high energy prices, we see risks to household spending as skewed to the downside.

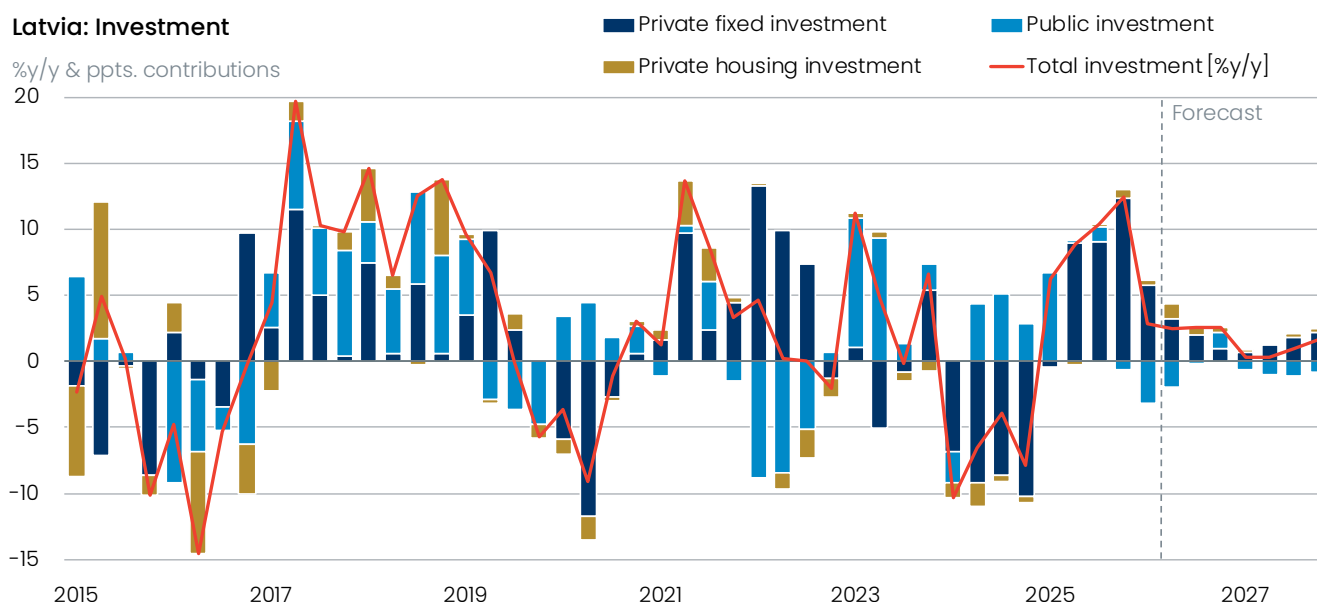
Chart 4: Consumption growth will remain steady despite a pick-up in inflation



Sources: Oxford Economics, Haver Analytics

Investment growth will moderate following last year's surge. Investment surged 9.5% y/y last year on the back of a strong pick-up in private outlays ([Chart 5](#)). Annual growth has moderated since to 2.8% y/y in Q1. While the pick-up in disbursement of EU funding will offer support, we expect investment growth will remain modest this year at 2.6% y/y.

Chart 5: Investment will stabilize this year



Source: Oxford Economics/Haver Analytics

The ongoing energy price shock will widen current account deficit. The ongoing increase in energy prices is expected to weigh on Latvia's external position over the forecast horizon. As a net energy importer, Latvia remains exposed to higher import costs for energy products, which will widen the trade deficit and contribute to a deterioration of the current account balance. We forecast the current account deficit to widen from 3.4% of GDP in 2025 to 4.4% in 2026, reflecting both elevated energy import costs and solid growth in domestic demand. Stronger household consumption and investment activity will support imports, partially offsetting gains from export growth.

Industry and construction will continue to benefit from public investment in infrastructure and defence. Latvia's industrial and construction sectors are set to benefit from a significant public investment outlays, supported by EU funds, infrastructure spending and rising defence expenditure. Large-scale projects in transport, energy and military infrastructure should provide a steady pipeline of activity for the construction sector and related industries. As investment execution improves, industrial production growth is forecast to accelerate to 5.4% in 2026, before moderating to a 0.7% in 2027 as the initial boost from public investment gradually fades. These sectors will remain key contributors to Latvia's economic recovery over the medium term.

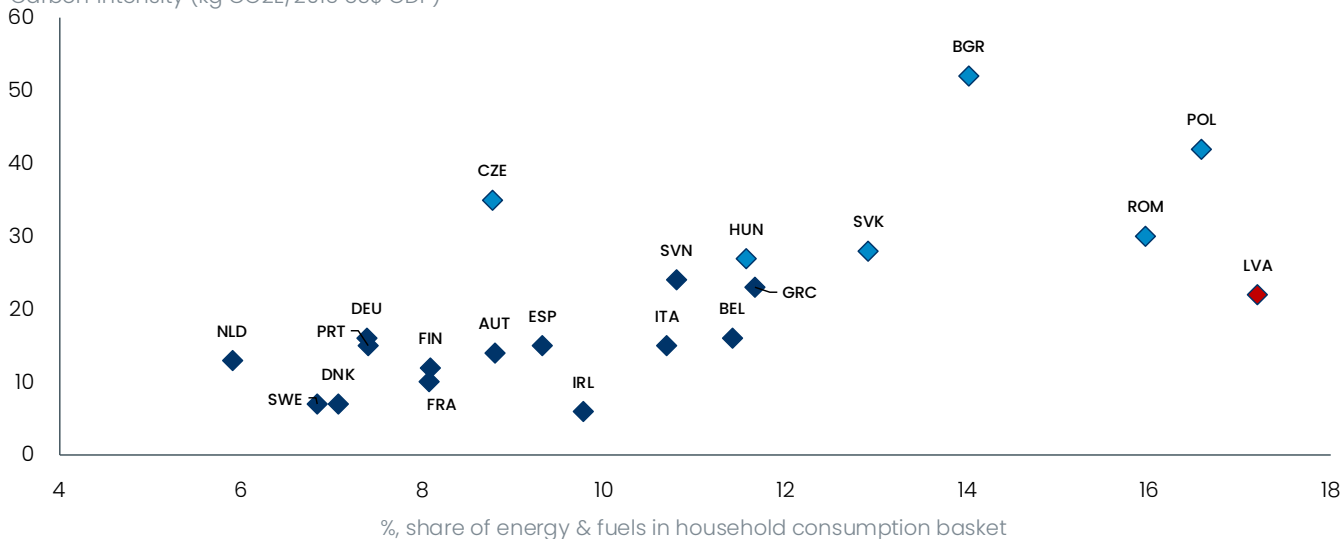
What to watch out for

Energy prices. We think that the ongoing energy price shock will weigh on activity given Latvia's high trade openness and reliance on imported energy inputs, constraining both household spending and business profitability. While carbon intensity of production is lower compared to Latvia's CEE peers, households spend an outsized part of their budgets on energy ([Chart 6](#)), highlighting the risk of a stronger pick-up in inflation than we assume, particularly in absence of government intervention.

Chart 6: Latvia remains vulnerable to an energy price shock

EU: Exposure to high energy and fuel prices

Carbon intensity (kg CO₂E/2015 US\$ GDP)

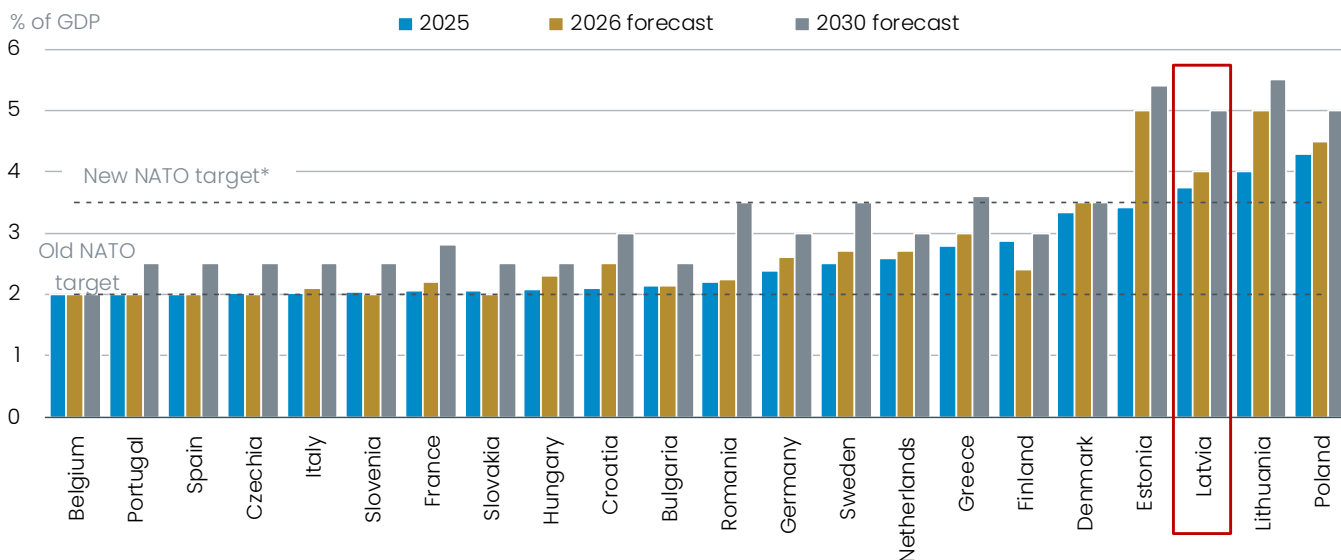


Sources: Oxford Economics, Haver Analytics

Defence spending. A further tailwind for growth will come from the government's commitment to significantly increase defence expenditure in response to the deteriorating regional security environment. Latvia plans to raise defence spending towards 5% of GDP over the coming years, placing it among the highest defence spenders in NATO relative to the size of its economy (Chart 7). The increase will support investment in military infrastructure, logistics, border security and equipment procurement, generating positive spillovers for the construction and manufacturing sectors. In addition, Latvia is expected to receive up to €3.5bn (around 8% of GDP) under the EU's SAFE defence financing programme by 2030, further supporting defence-related investment and domestic demand. While the fiscal costs are significant, higher defence spending should provide an additional source of growth and strengthen Latvia's medium-term economic outlook.

Chart 7: Latvia is expected to boost military spending to 5% of GDP by 2030

EU: Defence spending



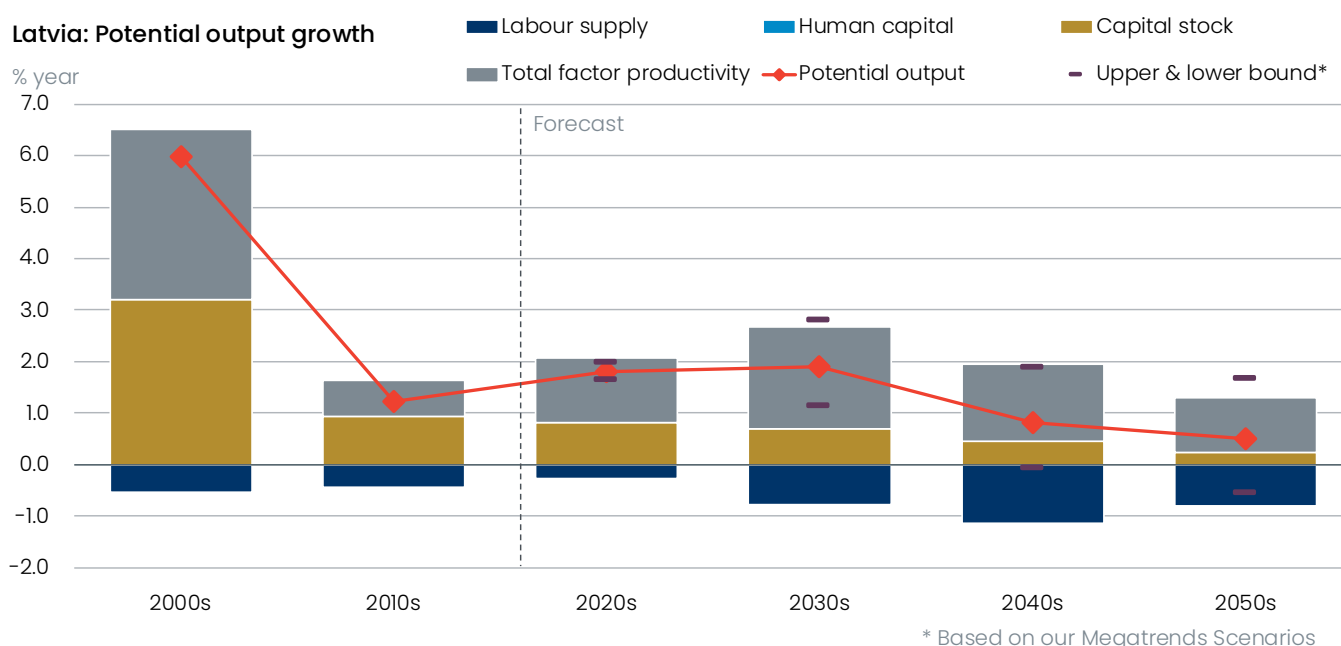
*Core defence spending only

Sources: Oxford Economics, NATO

Long-term prospects

Latvia's GDP growth was solid at the start of the century, averaging 6% in the 2000s, driven by capital accumulation and rapid technological progress, spurred by foreign direct investment, particularly in the financial sector. The inflow of EU funding also helped drive convergence, primarily by funding investment in infrastructure. However, Latvia's economy suffered a deep recession in the wake of the global financial crisis of 2008 and felt the brunt of the Eurozone debt crisis as well. Together with the painful fiscal adjustment that followed, this weighed on growth, which averaged 2.5% per annum in the 2010s, with potential output growing by even less. We estimate potential output will rebound somewhat this decade, increasing 2% per year, and remaining at a solid 1.7% in the 2030s. Thereafter, we expect potential growth to slow markedly.

Chart 8: Our baseline forecast shows an increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

Latvia's poor demographic profile will drag on the labour supply. Indeed, the working age population will shrink by around 1.3% per year until 2060, despite an increase in the retirement age. As a result, labour shortages are likely to appear, especially if the net migration balance doesn't improve materially.

Latvia's convergence with developed economies in the Eurozone is based on an improvement in labour allocation away from agriculture and low-value-added manufacturing toward services and more advanced industrial sectors. In addition, the inflow of foreign know-how through FDI helps boost productivity. However, we think the technological catch-up process will become more challenging. In particular, Latvia's export base is dominated by low-complexity items, with agricultural and wooden products to the fore. As it lacks a fully-fledged innovation ecosystem, it remains unlikely that it will be able to move up the global value chain.

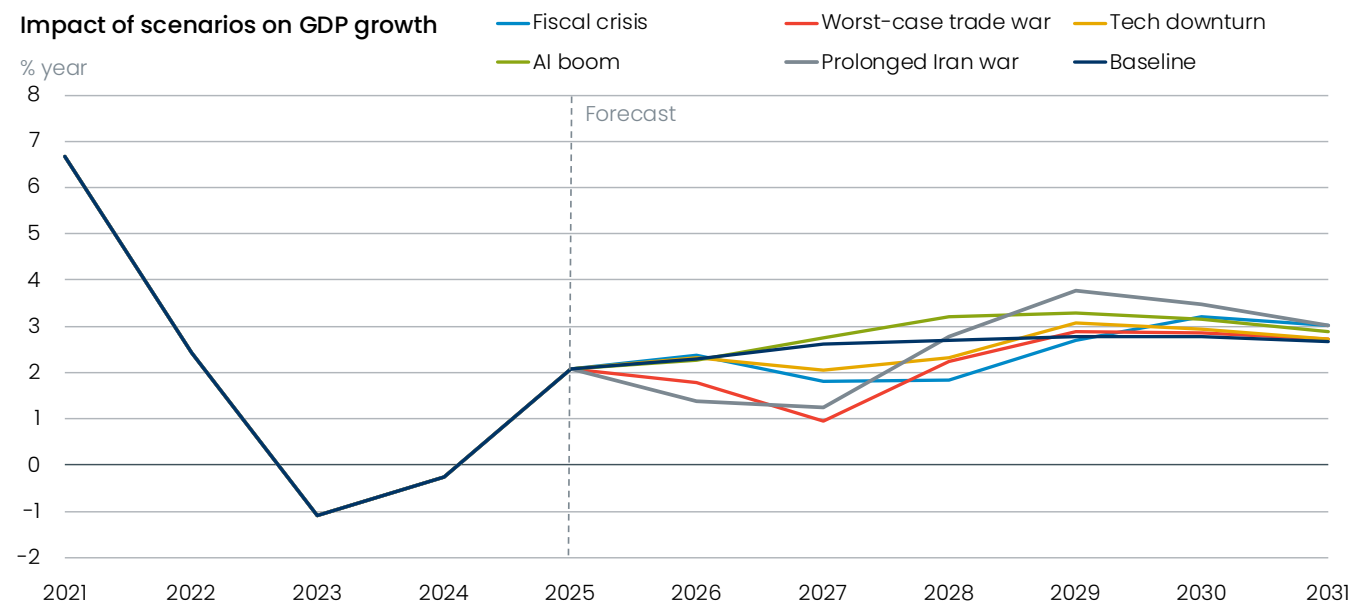
Scenarios

Exposure to key global risks

Worst-case trade war. In this scenario, US trade deals prove fragile. The US removes key tariff exemptions and raises import tariffs beyond trade agreement levels. Affected economies retaliate with corresponding tariffs on US exports. The expected renegotiation of USMCA fails to materialize, keeping tariffs elevated throughout the scenario. The US economy contracts in H2 2026. Disrupted supply chains coincide with higher tariffs impacting

investment. Worsening investor sentiment amplifies the hit to demand. Over the next three years, Latvia's GDP growth would be 0.9ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

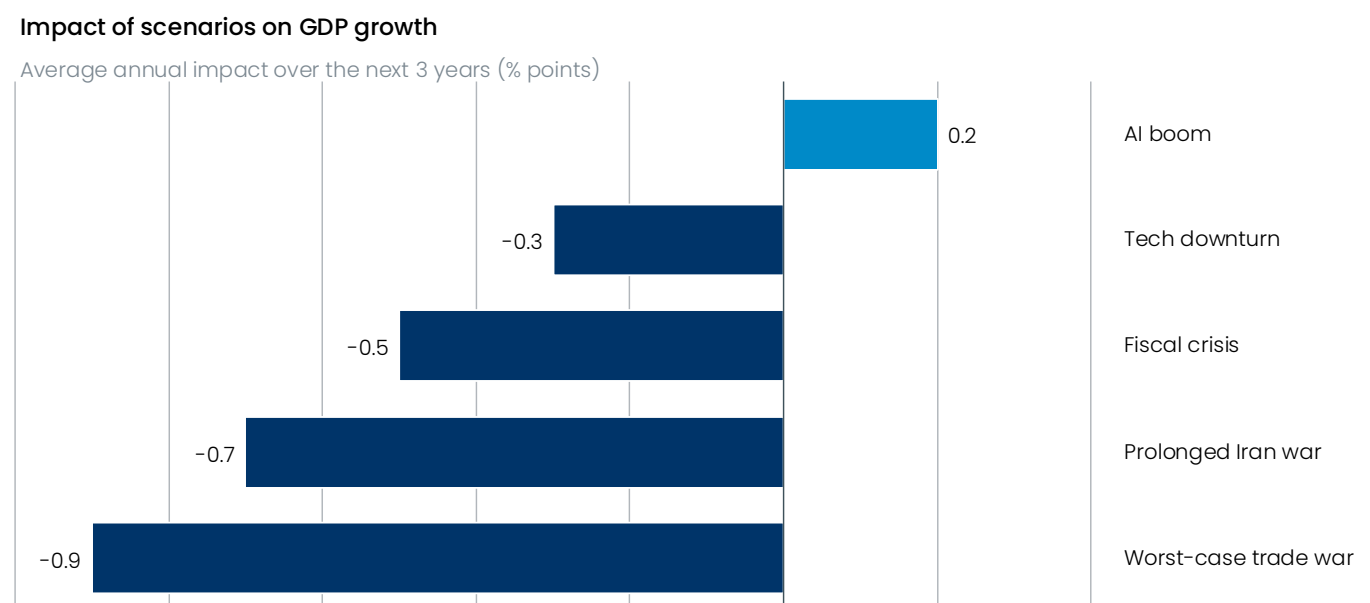
Chart 9: A more severe trade war and a tech downturn are key near-term risks



Source: Oxford Economics

Tech downturn. AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falls in stock prices and investment. In financial markets, concerns rise over tech sector valuations. US tech stocks fall by 25% in the first year of the scenario as a result. US growth grinds to a halt during 2026, despite increased Fed policy easing, as the recent surge in US capital expenditure abruptly ends. Falls in tech investment echo the weakness seen following the bursting of the dotcom bubble. US weakness spills over globally. Over the next three years, Latvia's GDP growth is 0.3ppts a year below our baseline forecast in this scenario ([Chart 8](#)).

Chart 10: Risks are skewed to the downside



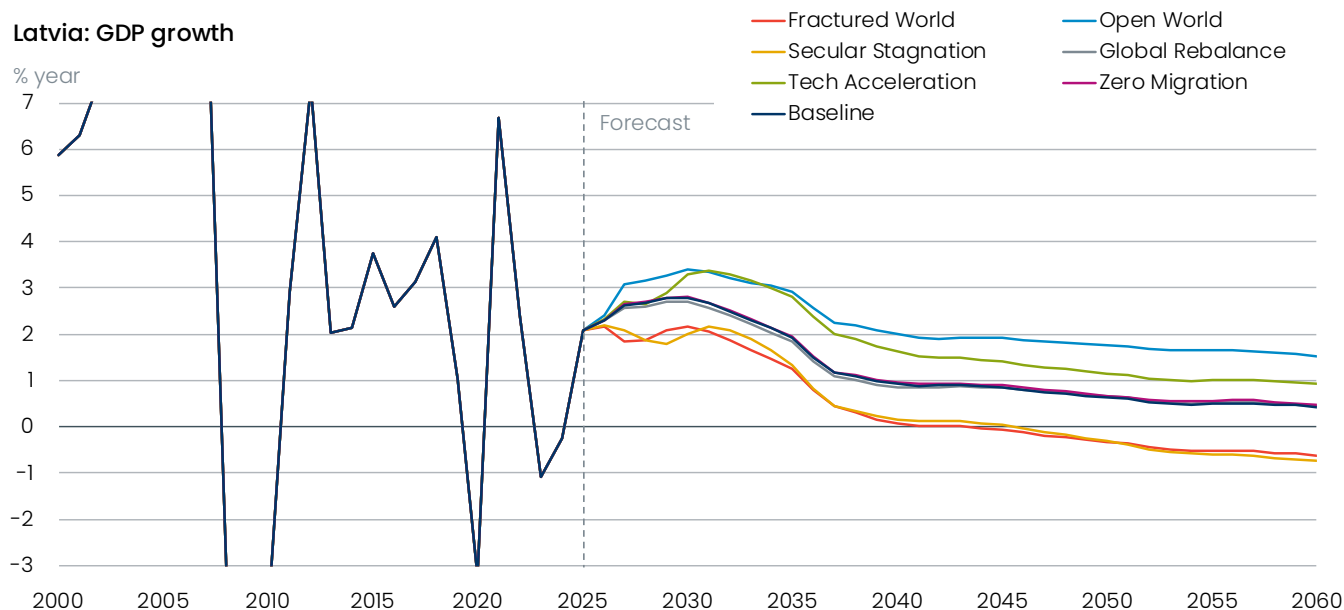
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, trade barriers are eased over the next decade, fostering greater cooperation and improved geopolitical stability. Productivity growth strengthens amid a more stable business environment, stronger technological progress, and higher fertility rates, compared to our baseline. A virtuous circle of economic growth drives rising living standards and improved financial stability. UK GDP growth would be 1ppt a year higher than our baseline forecast. Nominal and real interest rates also rise.

Chart 11: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. UK GDP grows 0.7ppts below baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	MAY 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM NOVEMBER	RANK OUT OF 164 (1= BEST)
Overall	4.3	0.1	44
Market demand	4.0	0.0	27
Market cost	5.0	0.0	65
Exchange rate	3.3	0.9	45

	MAY 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM NOVEMBER	RANK OUT OF 164 (1= BEST)
Sovereign credit	3.3	-0.4	30
Trade credit	6.0	0.0	33

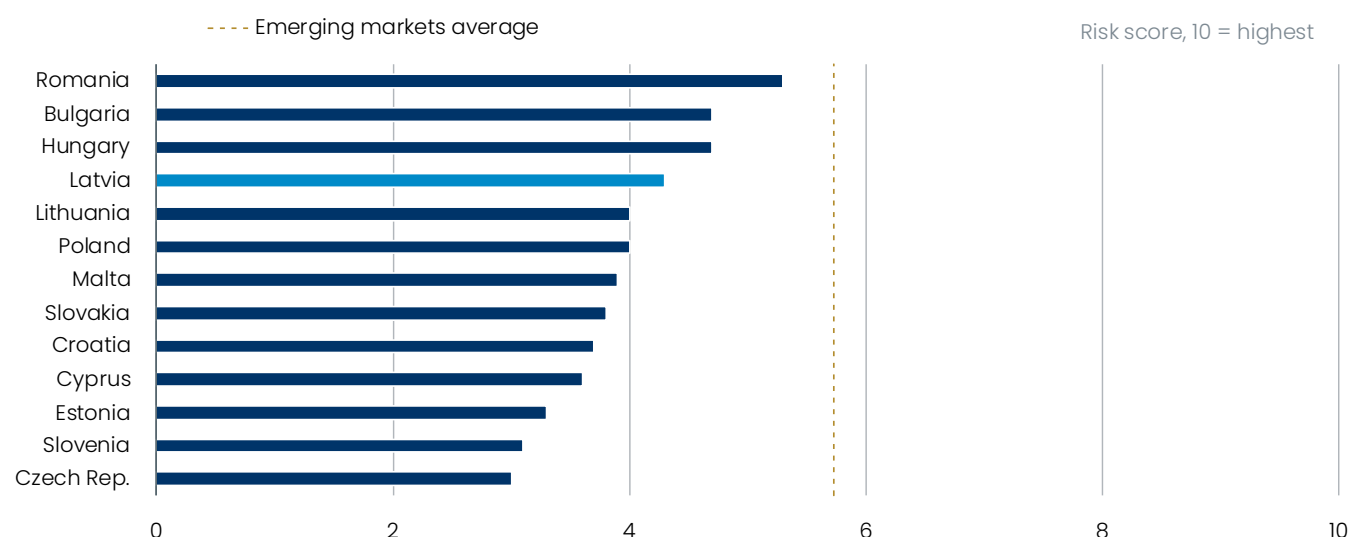
Source: Oxford Economics

Overall risk for Latvia: 4.3/10*

Latvia's overall economic risk score of 4.3 is slightly higher than six months ago and remains among the highest in the Eurozone ([Chart 12](#)). This reflects the lasting legacy of the 2008–2009 financial crisis, weak demographics and the vulnerabilities associated with a small, open economy exposed to external demand shocks.

Chart 12: The UK's risk score is in line with the Western European average

Economic risk: Latvia vs Emerging markets average



Source: Oxford Economics

Still, sizeable EU funding envelopes, including around 15% of GDP in Cohesion and NGEU resources, and additional SAFE-related defence financing, should support a gradual reduction in risk by underpinning public investment, infrastructure upgrades and energy security over the medium term. However, risks remain elevated due to subdued external demand, competitiveness pressures, labour shortages and persistent geopolitical uncertainty linked to Russia's war in Ukraine.

Market demand: 4.0/10

Latvia's market demand risk score of 4.0 remains among the lowest in Eastern Europe, reflecting favourable medium-term prospects for consumption and investment growth. Household spending is expected to strengthen as real wage growth remains solid and confidence gradually recovers, while a large pipeline of EU-supported investment should underpin domestic demand through 2026–2027. This includes substantial inflows from the EU's Cohesion Funds, the Recovery and Resilience Facility and SAFE defence financing, together amounting to more than 20% of GDP over the medium term. Public investment in infrastructure, energy security and military projects – including Rail Baltica and defence-related upgrades – is likely to generate sizeable spillovers to construction, services and private consumption.

Market cost: 5.0/10

Labour costs remain relatively low by EU standards, even after adjusting for below-average productivity. However, the market cost risk score remains elevated at 5.0 as wage growth continues to outpace productivity amid a structurally tight labour market. Compensation growth has remained among the strongest in the EU in recent years, driven by labour shortages, emigration legacies and rising defence- and construction-related demand. While the government continues efforts to expand training, reduce non-wage labour costs and attract foreign workers, shortages of skilled labour remain a key constraint for technology-intensive sectors and large-scale infrastructure implementation.

Exchange rate: 3.3/10

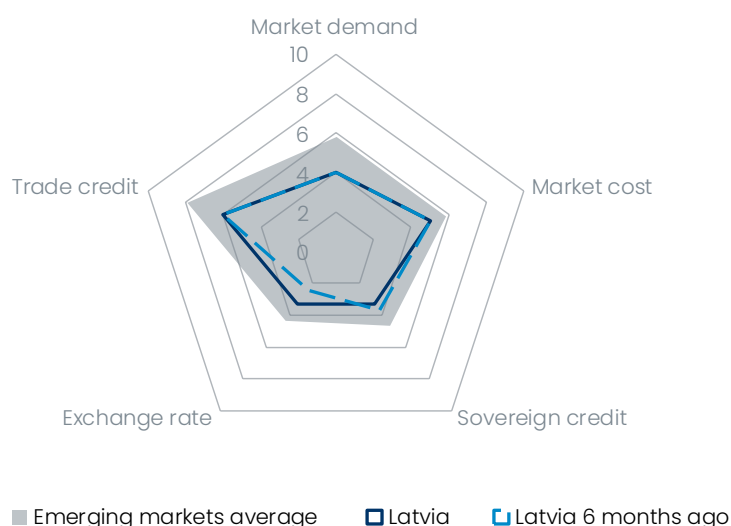
Latvia's exchange rate risk score of 3.3 is broadly in line with that of other Eurozone economies despite the country's high trade openness and reliance on imported energy and commodity inputs. We expect the euro to remain relatively firm against the US dollar in the near term, helping to contain imported inflation pressures. At the same time, strong EU-funded investment demand and large-scale defence and infrastructure imports are likely to keep the current account in moderate deficit over the medium term.

Sovereign credit: 3.3/10

The sovereign credit risk score of 3.8 is lower than six months ago. Latvia's ratings remain solidly investment grade — S&P at A, Fitch at A-, and Moody's at A3 — supported by relatively low public debt, strong institutional credibility and Eurozone membership. However, the fiscal outlook is becoming more challenging as defence spending is set to rise sharply towards 5% of GDP and infrastructure investment needs remain pressing. Coalition fragmentation following the collapse of the government also adds some policy uncertainty, while ageing-related spending pressures are likely to complicate fiscal consolidation and keep public debt on a gradual upward trajectory over the coming years.

Chart 13: Exchange rate risk has increased since November

Economic risk: Latvia vs Emerging markets average



Source: Oxford Economics

Trade credit: 6.0/10

Trade credit risk at 6.0 remains relatively elevated, reflecting both structural and cyclical factors. First, the economy still bears some legacy vulnerabilities from the post-2008 downturn, which weakened private-sector balance sheets and left the corporate sector sensitive to financing conditions.

Second, Latvia's small, highly open and import-dependent economy remains exposed to fluctuations in energy and commodity prices, while sizeable imports linked to EU-funded investment and defence spending are likely to keep the current account structurally in deficit. Nevertheless, we expect trade credit risks to ease gradually over the medium term as inflation moderates, supply-side pressures fade and large-scale public investment supports productivity gains, energy resilience and export diversification

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).